

Zimbabwe Lithium Royalty Exposure

A sensitivity view of government royalty income and an open question about MIF's own equity exposure.

THE QUESTION

Zimbabwe's lithium royalty revenue is highly exposed to swings in the global spodumene price cycle. Holding export tonnage constant, how much does royalty revenue swing purely from price movement and what does that same price mechanism imply for MIF's own equity exposure through Mutapa Energy Resources (MER)?

DATA & METHOD

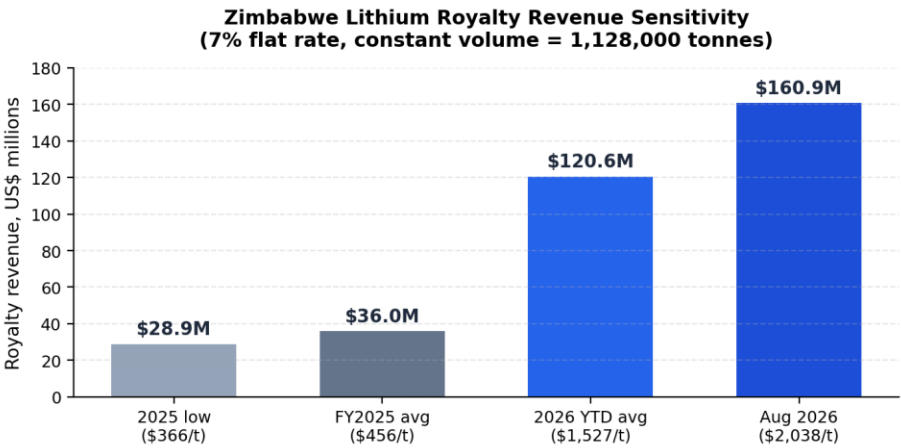
Royalty rate: flat 7% on lithium ore/concentrate value (current, enacted rate). A graduated 7%/5%/3% structure by processing stage has been proposed by industry (PLZ, Aug 2026) with parliamentary support, but is not yet law.

Export volume: 1,128,000 tonnes (Zimbabwe FY2025 spodumene concentrate exports), held constant across all scenarios so price is the only variable.

Prices: spodumene (6% Li₂O, cif China) spot assessments, cross-checked against USGS Mineral Commodity Summaries. Range spans the 2025 trough to the current (Aug 2026) price.

Note: the \$366/t and \$456/t figures are implied average prices (export value ÷ tonnage) from official 2025 trade data, not spot benchmark quotes shown alongside the underlying arithmetic below.

Scenario	Price (\$/t)	Volume (t)	Export value	Royalty (7%)
2025 low (implied avg)	\$366	1,128,000	\$412.8M	\$28.9M
FY2025 avg (implied)	\$456	1,128,000	\$514.4M	\$36.0M
2026 YTD avg	\$1,527	1,128,000	\$1,722.4M	\$120.6M
Aug 2026 current	\$2,038	1,128,000	\$2,298.9M	\$160.9M



THE FINDING

At identical export tonnage, Zimbabwe's lithium royalty takes ranges from \$29 million to \$161 million (5.6x swing). This is driven entirely by where spodumene prices sit in the cycle, not by any change in production.

The central distinction: government royalty exposure and MIF's own equity exposure through MER are not the same number, and likely not even close.

WHAT THIS MEANS FOR MIF SPECIFICALLY

This model measures government royalty exposure, the 7% every miner pays on export value, regardless of ownership. It is a proxy, not a direct measure, of MIF's own exposure through MER. The two diverge because royalty is a flat cut of revenue, while MIF's actual exposure runs through MER's profit (revenue minus production costs and debt service (including the recently secured \$300M project financing at Sandawana)). Because costs don't shrink when prices fall, a price downturn likely compresses MER's margin by more than it compresses royalty revenue. It is the same mechanism, but a sharper edge for MIF as owner than for government as tax collector.

Quantifying that equity-level exposure precisely would need MER's own production volumes, cost per tonne, and debt terms (data I could not verify independently). Raising that gap here rather than guessing at it.

Note: volume held constant as a simplifying assumption actual export tonnage moves with price too, so this isolates the price effect specifically. A separate 2% minerals levy on lithium (effective Jan 2025) applies on top of the royalty and is not included above, this remains the baseline under the 2026 budget, though a proposal to raise it to 3% was discussed and not adopted. MER is described in public reporting as Zimbabwe's state-owned lithium miner under MIF(my assumption was MFI is the 100% owner)